chapter Name

Government Budget

→ Government Budget

It is a financial statement of the estimated receipts and estimated expenditure of the government during a fiscal year. It is also called Union Budget or Central Budget.

→ Types of Government Budget

1. Balanced budget

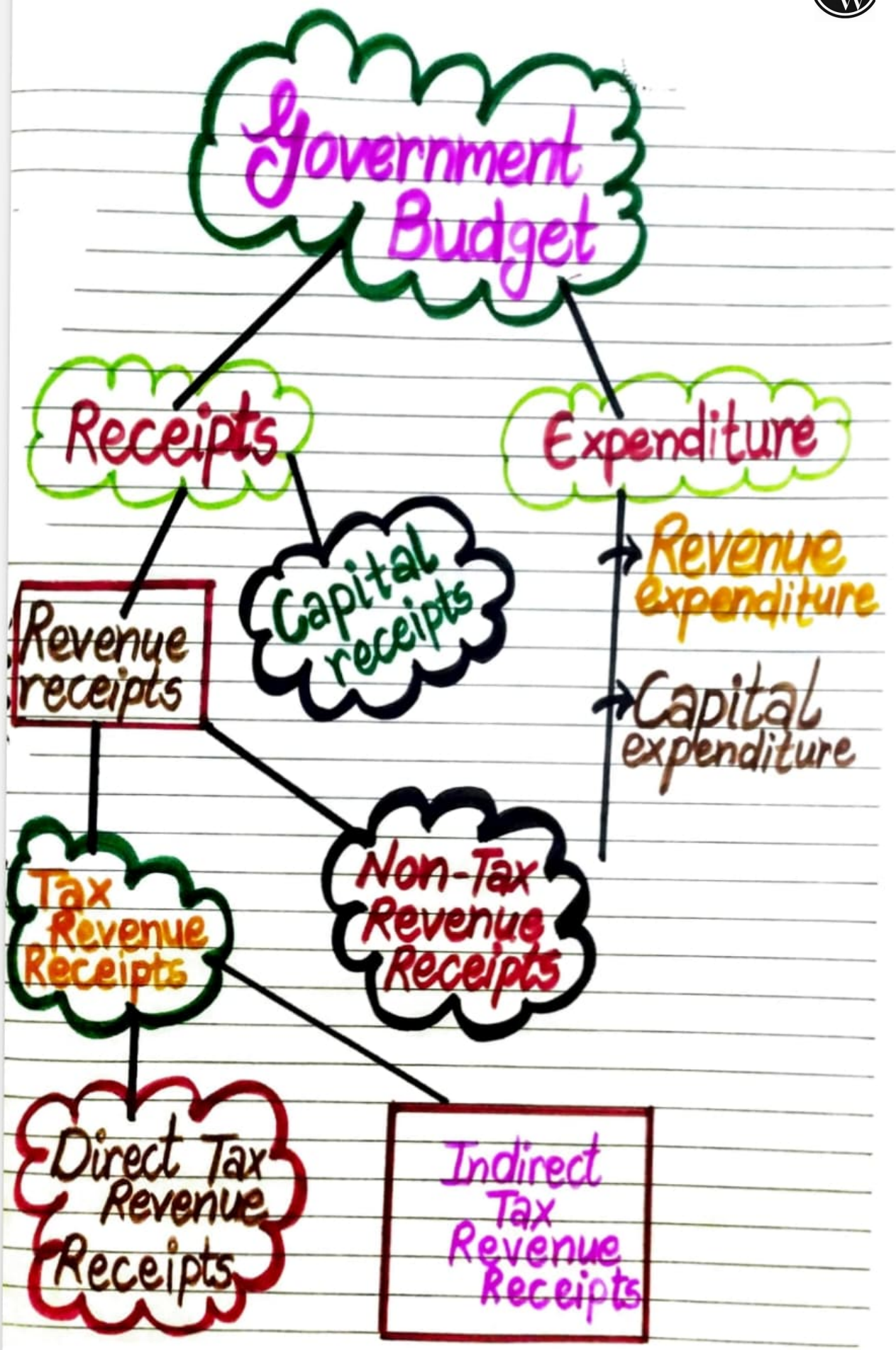
It is that government budget where total receipts of the government budget are equal to total expenditure of the government budget.

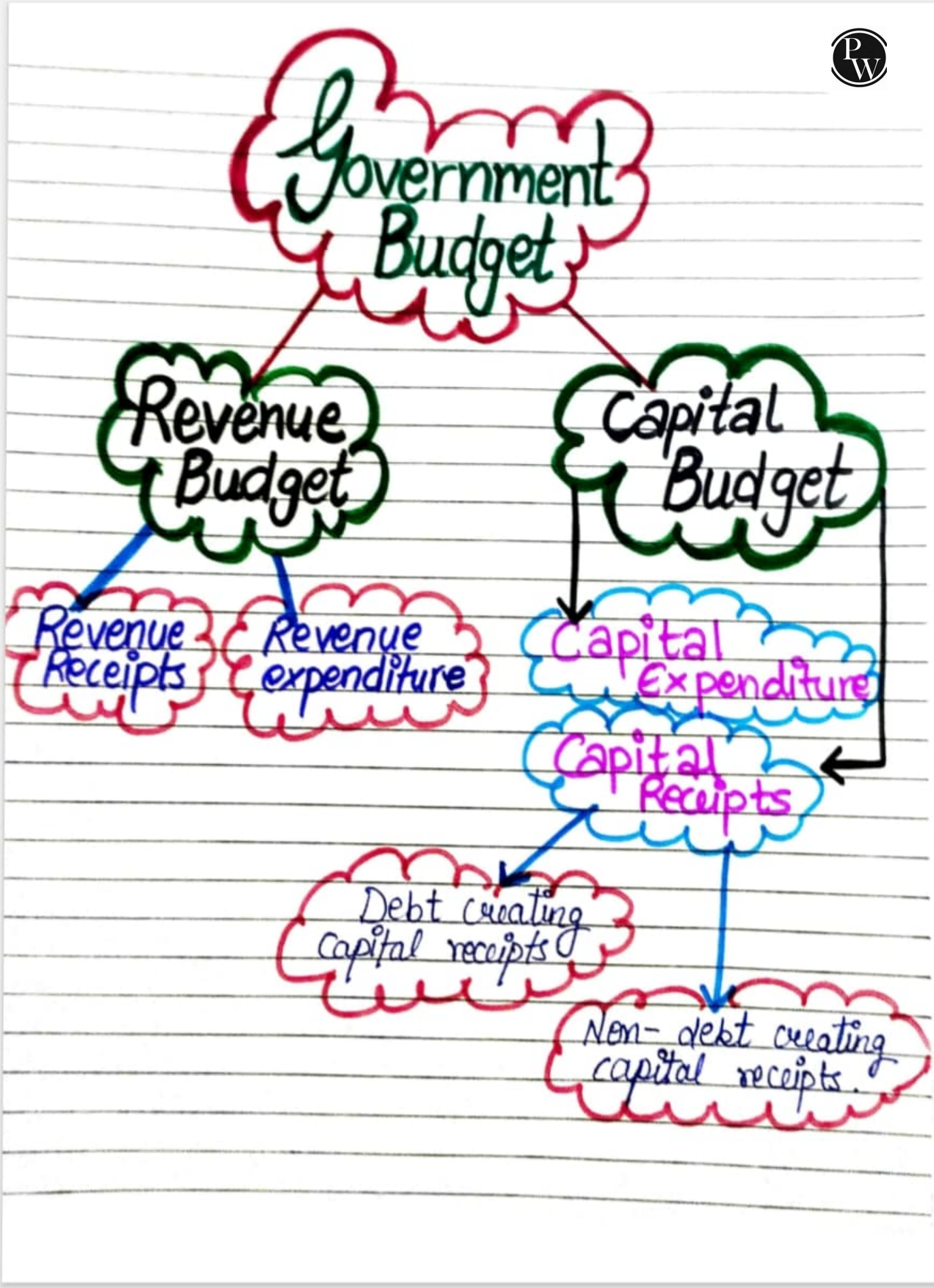
2. Surplus Budget

It is that government budget where total receipts of the government budget are greater than total expenditure of the government budget.

3. Deficit budget

It is that government budget where total receipts of the government budget are less than total expenditure of the government Budget.


Government Budget
Receipts
Expenditure
Capital receipts
Revenue receipts
Revenue expenditure
Capital expenditure
Tax Revenue Receipts
Non-Tax Revenue Receipts
Direct Tax Revenue Receipts
Indirect Tax Revenue Receipts


Government Budget
Revenue Budget
Capital Budget
Revenue Receipts
Revenue expenditure
Capital Expenditure
Capital Receipts
Debt creating capital receipts
Non- debt creating capital receipts.

→ Revenue Budget

The part of the government budget which includes revenue expenditure and revenue receipts is called revenue budget.

→ Capital Budget

The part of government budget which includes capital expenditure and capital receipts is called capital budget.

→ Revenue Expenditure

These are that expenditure of the government which neither reduces liability nor creates assets of the government.

→ Capital Expenditure

These are those expenditure of the government which either reduces liability or creates assets of the government.

Revenue Receipts

These are those receipts of the government which neither creates liability nor reduces the assets of the government.

Capital Receipts

These are those receipts of the government which either creates liability or reduces assets of the government.

Examples of Revenue Receipts

1. Tax i.e Income Tax, Sales Tax, VAT, Excise duty etc.
2. Grants from foreign government
3. Fee and fines.
4. Interest Received
5. Profit and Dividends etc.

Examples of Capital Receipts

1. Dis-investment or Sale of shares in PSUs
2. Recovery of loans
3. Borrowings
4. Provident Fund deposit
5. Post office deposits etc.

Examples of Revenue Expenditure

1. Interest payment
2. Grants given to state government
3. Subsidies
4. Payment of Salaries and pension.
5. Defence services
6. Health services etc.

Examples of Capital Expenditure

1. Loans to state government and foreign government.
2. Investment in shares
3. Repayment of loans
4. Purchase of land and building
5. Construction of building, roads etc.

→ Distinguish between Revenue Receipts and Capital Receipts.

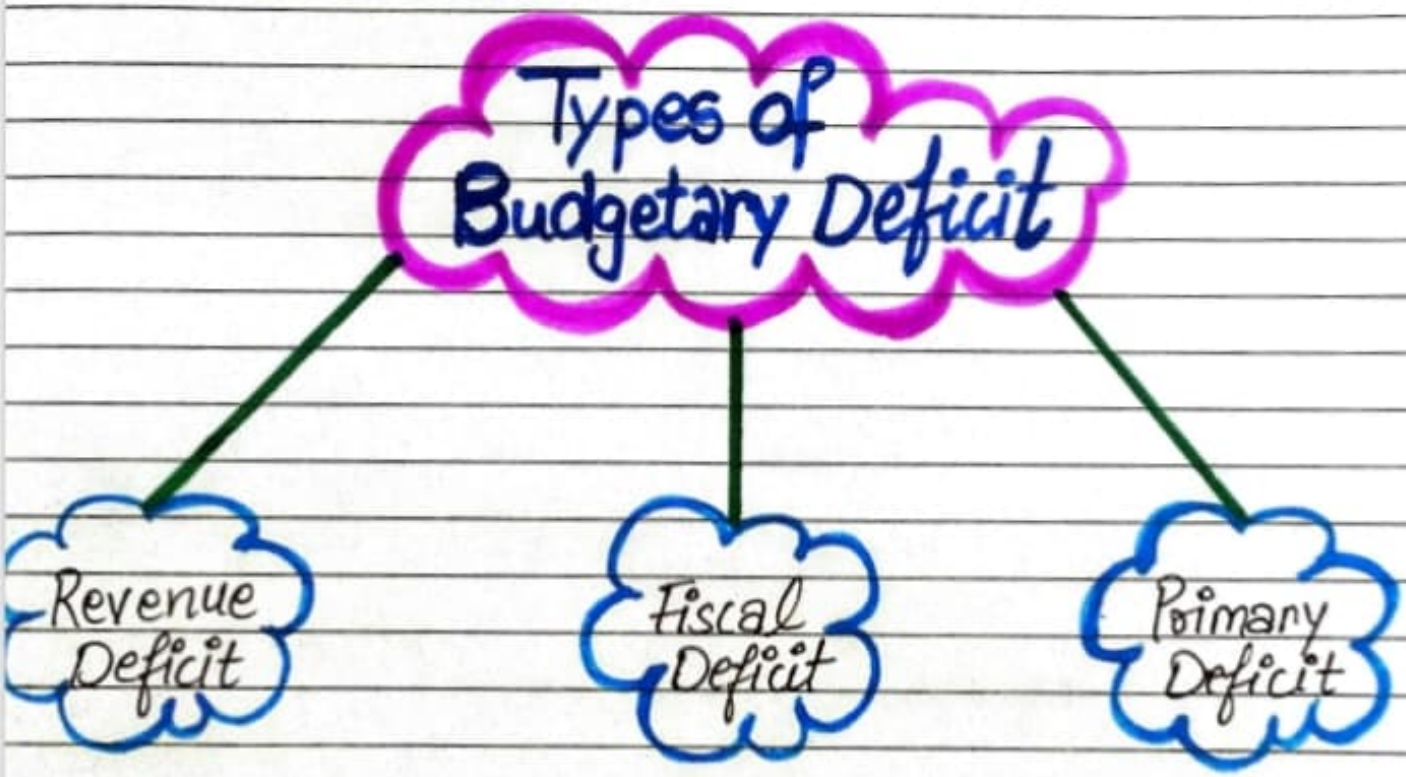
	Revenue Receipts	Capital Receipts
1.	These are those receipts of the government which neither creates liability nor reduces the assets of the government.	These are those receipts of the government which either creates liability or reduces assets of the government.
2	It is the part of revenue budget.	It is the part of capital budget.
3.	These are current income receipts of the government.	These are capital income receipts of the government.
4.	Examples- Fee & Fines Interest Received etc.	Example- Borrowings Recovery of loans etc.

Distinguish between Revenue Expenditure and Capital Expenditure.

	Revenue Expenditure	Capital Expenditure
1.	These are that expenditure of the government which neither reduces liability nor creates assets of the government.	These are those expenditure of the government which either reduces liability or creates assets of the government.
2.	It is the part of revenue budget.	It is the part of capital budget.
3.	It is short-period expenditure.	It is long period expenditure.
4.	It is recurring in nature and incurres regularly.	It is non-recurring in nature.
5.	Example - Defence services Health services etc.	Example - Repayment of loans Construction of roads etc.

Budgetary Deficit

It refers to a situation when total expenditure of government budget is more than its total receipts.



Revenue Deficit

It is a situation when revenue expenditure of the government is more than revenue receipts.

i.e Revenue Deficit = (Revenue expenditure - Revenue Receipts)

Fiscal Deficit

It is a situation when total expenditure of the government budget are more than total receipts excluding borrowing and other liabilities.

i.e Fiscal deficit =
Total Expenditure - Total receipts (net of borrowings)

= Total expenditure - revenue receipts - Non-Debt capital receipts

Primary Deficit

It may be defined as the difference between fiscal deficit and Interest payments.

i.e Primary deficit = [Fiscal deficit] - [Interest payments on previous borrowings]

Objectives/Significance of Government budget

1. Re-distribution of income & wealth
OR
Reduction in the inequality of income and wealth.

2. Re-allocation of resources

3. Economic Growth

4. Economic stability
OR
Price Stability

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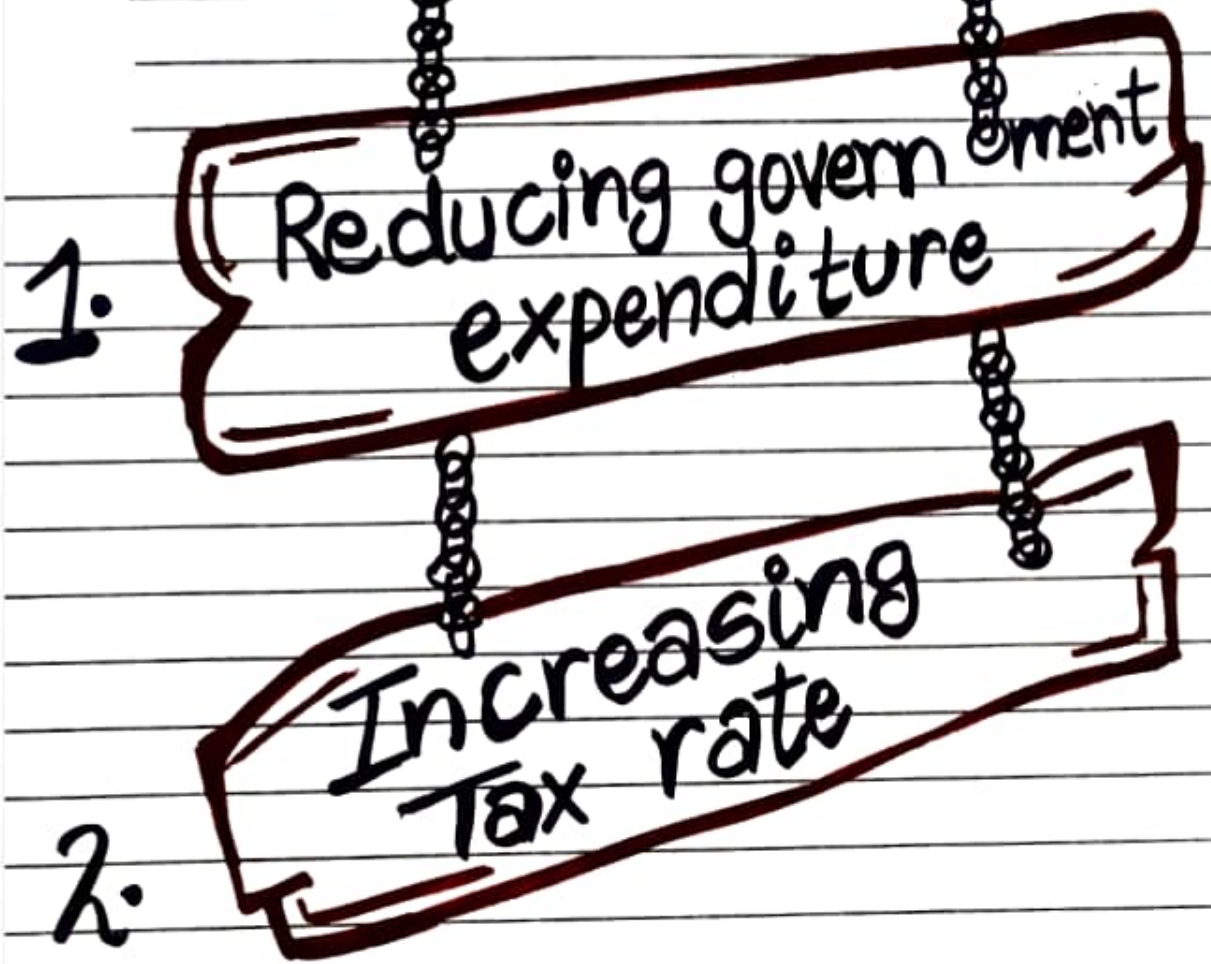
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Direct Tax VS Indirect Tax

	Direct Tax	Indirect Tax
1.	These are those taxes whose liability and burden lies on the same person	These are those taxes whose liability is on one person and burden is on another person
2	Its incidence can't be shifted.	Its incidence can be shifted
3	These are imposed on individuals.	These are imposed on goods and services.
4	They are progressive in nature.	They are regressive in nature.
5	example - Income tax, house tax, property tax, wealth tax, gift tax, corporate tax etc.	example - Sales tax, VAT, service tax, excise duty, custom duty, entertainment tax etc.

Measures to Reduce Budget Deficit



→ Defines :-

1. Tax Revenue Receipts

It refers to the revenue receipts of the government in the form of Taxes.

2. Non-Tax Revenue Receipts

It refers to the revenue receipts of the government which are not in form of tax.

3. Indirect tax revenue Receipts

These are those revenue receipts of the government which are in the form of indirect taxes. Indirect taxes are those taxes whose incidence can be shifted.

4. Direct tax Revenue Receipts

These are those revenue receipts of the government which are in the form of direct taxes. Direct taxes are those taxes whose incidence can't be shifted.



Are Fiscal deficits necessarily Inflationary?

Fiscal deficits are inflationary as they arise due to high government expenditure and this high government expenditure raises the level of AD in the economy. In this situation the sellers may not to able to produce according to the demand in the economy and it gives chance for sellers to charge higher prices. so it invite Inflation.

Q-1

Explain how government re-allocates resources in the economy.

OR

Explain "re-allocation of resources" as an objective of government budget.

Answer.

Government re-allocates resources in the economy by using its budgetry policy of tax and expenditure.

Government allocates resources in following ways:-

1 (a) Government promotes the production of those goods which are in the interest of economy and thereby provide subsidies.

(b) Government discourage the production of harmful goods like liquor, tobacco etc. and thereby imposes higher taxes.

2. Government initiate all those activities in public interest which are not undertaken by private sector either because of huge investment or lack of profit.

-2

Explain how government brings economic stability.

Answer

1. The government brings economic stability by using its policy of tax and expenditure.

2. Economic stability means absence of large scale fluctuations in the price level.

3. for example, under inflationary situation government reduces its expenditure and increases tax rate under deflationary situation government raises its expenditure and decreases tax rate.

Q-3

How government achieves the objective of reducing inequality of income and wealth? Explain.

Answer

The budgetry policy of the government helps in the reduction of inequality of income and wealth.

1. The government should increase tax rate on the income of rich and should impose high taxes on luxury items. It will reduce disposable income of rich.

2. On the other hand, the government should give tax concession to poor people and should provide certain basic services for free like health services, education etc. It will raise the disposable income of the poor.

Hence, in this way government can reduce the inequality of income and wealth in an economy.

Q-4.

Elaborate "Economic growth" as an objective of government budget.

Answer

Economic growth refers to increase in GDP of a country. The budgetary policy also aims to increase GDP level of a country in following ways -

1. Government can boost savings and investment level in an economy by providing tax concessions and subsidies for starting new projects. Thereby, GDP will rise.

2. Government can increase its expenditure on infrastructure development which will increase the number of economic activities and also motivate foreign investment. Hence, GDP will increase.